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Morning Note
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Tone: Volatile / Mixed

Two shocks are colliding into Wednesday's Fed decision. Overnight, an AI-capex-driven semiconductor rout tore through Asia: South Korea's Kospi collapsed 10.84% — its worst session in years — as Samsung and SK Hynix each fell more than 13%, while Tokyo's Nikkei fell 3.95% with SoftBank and Advantest hit hard. Separately, the Iran ceasefire that drove Monday's relief rally is already fraying — oil fell as much as 3.9% (Brent to $84.91) on hopes of Hormuz diplomacy, then reversed sharply higher late in the session after US Central Command said it intercepted an Iranian attack, with WTI jumping 4.4% intraday to $82.73. Monday's US session closed mixed: the Dow added 0.51% to 52,210.08 on a rotation into real estate and materials, while tech lagged (XLK -1.4%, SMH down more than 2%) as the chip selloff began bleeding into US trading. With the Fed's decision less than 24 hours away, markets now have a stronger case for volatility from both the geopolitical and AI-capex angles at once.

OVERNIGHT MACRO

- **Asia:** Nikkei -3.95% to 62,364.92; Kospi -10.84% to 6,023.66 (Samsung -13.4%, SK Hynix -14.7%, SoftBank -4.43%, Advantest off more than 10%) — an AI-capex-driven rout, Kospi's worst session in years. ASX 200 a rare gainer, +0.60% to 8,947.80.
- **Europe:** Stoxx 600 +0.2%, FTSE 100 +0.1%, CAC 40 +0.4%, DAX +0.5% — green and so far insulated from the Asia chip carnage.
- **FX:** Dollar little changed, consolidating ahead of Wednesday's Fed decision.
- **U.S. Futures:** Flat as oil prices jump and traders brace for the Fed decision. Monday's cash close: Dow +0.51% to 52,210.08, S&P 500 +0.02% to 7,413.18, Nasdaq -0.18% to 24,932.08.

RATES & CREDIT SNAPSHOT

Instrument	Level	Move	Note
2Y Treasury	~4.30%	Little changed	Consolidating just below Monday's level ahead of the Fed.
10Y Treasury	~4.63%	Little changed	Holding in a narrow range as markets await Wednesday's decision.
30Y Treasury	~5.15%	Little changed	Little changed, still elevated versus pre-conflict levels.

The curve is essentially parked ahead of tomorrow's decision — nobody wants to be positioned aggressively long or short Treasuries with both a Fed verdict and a fragile Iran ceasefire in play at once.

Meeting	Current Range	Market-Implied	Note
FOMC, Jul 28-29 (decision tomorrow, 2pm ET)	3.50-3.75%	Hold favored, close call	Odds tightening further as oil reverses higher again late Tuesday.

Credit: IG OAS near 80bps, HY OAS near 275bps — both little changed, still the most notable divergence versus the volatility everywhere else in markets.

COMMODITIES & SECTOR TABLES

Commodity	Level	Chg	Note
Brent Crude	$84.91 intraday low, then higher	-3.9% then reversing	Fell on Hormuz diplomacy hopes, then reversed on the intercepted Iran attack
WTI Crude	$79.87 low, $82.73 late	-3.3% then +4.4%	Sharp late-day reversal on the intercepted attack
Gold	Little changed	Little changed	Steady through the whipsaw

Commodity	Level	Chg	Note
Copper	Above $6.30/lb	Steadying	Holding ground after last week's volatility
Nat Gas	Roughly flat	Little changed	Tracking the broader energy complex

Real estate and materials led Monday's gains; tech was the worst performer as the Asia chip rout began bleeding into US trading.

Sector / Name	Chg	Read
Real Estate / Materials	Outperforming	Biggest Monday gainers
Technology (XLK)	-1.4%	Worst-performing sector
Semiconductors (SMH, AMD, Teradyne)	-2% to -5%	Chip selloff spreading from Asia

EVENTS TO WATCH

- **FOMC decision tomorrow, July 29, 2pm ET** — + Warsh press conference 2:30pm — the single biggest catalyst of the week.
- **Whether the Iran ceasefire holds overnight** — the late-day intercepted attack shows how fragile the pause really is.
- **AI-capex / semiconductor selloff** — Kospi's worst session in years — watch for spillover into US tech earnings.
- **Big Tech earnings this week** — a real-time test of the AI-spending narrative markets are now nervous about.
- **Core PCE and Q2 GDP data** — still due this week alongside the Fed decision.